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Dr D Y PATIL INSTITUTE OF MANAGEMENT STUDIES
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& Permanently Affilited to Savitribai Phule Pune University

A

FIELD PROJECT

REPORT ON

"Investor Awareness Towards Stock Market"

SUBMITTED TO

SAVITRIBAI PHULE PUNE UNIVERSITY

SUBMITTED BY

Pratik Chandrakant Sherkhane

UNDER THE GUIDANCE OF

Dr. Amitabh Patnaik

DECLARATION

This research project is my original work and has not been submitted for examination to any other university.

Pratik Chandrakant Sherkhane

Signed_____ Date_____

This research project has been submitted for examination with my approval as the University Supervisor.

Signed_____ Date_____

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ABSTRACT

The ‘Stock Market’ has become one of the most comprehensive and preferred avenues of investment just now. Today, people seem to be taking keen interest in the stock market by gaining the knowledge about it. Till few decades back, the stock markets were considered to be one of the most difficult and complicated activity which was meant only for a very few enthusiasts. The stock market has now come to the masses benefitting large number of people due to advent of technology, inclusion of millions in the financial system and easy access of online trading systems.

This peer-reviewed research paper studies **"Investor Awareness Towards Stock Market"**. The present paper is a field study conducted at **DYPIMS College** under **Savitribai Phule Pune University (SPPU)**. The objective of the study is to (1) studied the awareness of investors about concept of stock market, trading options and market risks and benefits, (2) studied the factors affecting the investor' awareness towards stock market activities, (3) studied the correlation of the various aspects of investor' awareness towards stock market activities and (4) studied the impact of demographic variables of investor' awareness towards stock market activities.

For the present study, the Descriptive Research Design is used. The Target Population comprises 18+ years of age investors who have the basic knowledge / prior exposure regarding stock market investments. The Convenience Sampling technique is applied to select 110 different respondents. The data is collected by means of "Structured Questionnaire on the basis of Likert Type statement" as well as the data is analyzed with the help of descriptive tools & inferential tools using IBM SPSS software. The survey reliability is checked by Cronbach’s Alpha method and found to be good.

It was observed that: (1) The respondents knew about the stock market investments at modest to high level, (2)The stock market investors had average awareness of conceptional side of stock market and (3) Though, the stock market investors had fair to high level knowledge of the stock market investments, they did not have knowledge of practical side of risk mitigation & wise decision making. While the respondents's educational qualification, income, age and occupation had showed less effect on knowledge levels of the respondents as revealed increased awareness irrespective of variables. It was found that there still a scope to spread out the awareness of the stock market across all sections of the society to have more informed investors.

The research recommends that Bank/Financial institution/Stock market Brokers'/should be stepped up their efforts to spread financial literacy program & provide the investor'-friendly literature on regular basis for the proper investor awareness. Informed investors should be developed to keep other specific groups of people educated regarding the importance and awareness of the stock market investments. The concern of investors must have to be given special attention by Financial planners, Analysts and Broke', and they should have to emphasize on the concept of increase in awareness.

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Chapter 1: Introduction

1.1 Introduction to the Topic:

The growth of financial markets and the modernization of digital technology have played the pivotal role in shaping and reshaping the way the individual interacts with his finances and investment activities. Stock market has been emerging in prominence, especially of late, as one of the prime sources of wealth creation, diversification of investments and planning for long-run. Online trading account, mobile applications, the relaxed pace and approach towards information held by financial markets, have magnified the scope and administration of stock market operations. Today, online trading has rendered the stock market an all-consuming part of an individual's financial life; the individual can buy and sell securities, without leaving the confines of personal room or office cubicle. The usage of internet and smart-phones has considerably amplified the accessibility to stock market investments all over the world.

In India, the reforms in financial sector, investments accessibility, the endeavors to lure and safeguard investors, have proved the fulcrum for stock market development. Launching of online brokerages and demat accounts have eased the traditional investment process, making the investment experience both comfortable and simple, especially for complex instruments such as shares, mutual funds etc. Apart from removing the cosmetics, publicity and promotional endeavors of financial agencies, awareness campaigns launched by regulators such as securities exchange board of India have contributed in raising the understanding about functioning of stock market, various investment derived tools and facilities, risk mitigation gimmicks and concepts. Interestingly, the serious attention paid to the stock market itself indicates the widespread deficiency of investment awareness among Indian investors. The majority of the investors make their plan of investments by buying shares or selling shares without knowing the reasons because the stock market operates the way it does and the predictability of different investment options and associated keywords or concepts.

In addition to the elementary knowledge of stock purchase and sale operations, lack of comprehensive awareness about portfolio panning, market volatility, diversification, gains/losses, returns, etc. also inhibits the investors from determining accurate investment ways. The measurement of the investor awareness makes an attempt to reveal the quantify and scope of people's knowledge and perspectives about the functioning of stock market, different investment instruments, their peculiarities and properties. It forms the bulwark of financial decision-making, by no immediate paradox. An investor, conversant with particulars of stock exchanges, is believed to be well capable of making prudent investment decisions, unlike the one without or with very lean awareness, who becomes exposed to baseless rumors and baser perceptions. Furthermore, an awareness instructs the investors to identify the scams and tricks, adapt to their investment to their financial frameworks and observe fundaments.

The magnitude of the stock market environment is directly and inversely impacted by a host of components, such as the economy, trend of market, company performance and state of investor perceptions, presently, with the bombardment of online social media, discussion groups and digitalized investment opportunities, investors are quite vulnerable to designations, armchair analysts and reckless decisions. A large number of novice investors invariably resort to collective, uncommitted speculations, resulting in their biased stock investments. Given the facts, it is highly required that investors are notified for development of their investment awareness for inspired and prudent investing outlook.

The quantum of investor awareness is intensely shaped by some socio-economic agents, like education, income, age, occupation, and associated acquaintance to financial resources. The well-advantaged class (that's probably educative) exhibits high extent of investment awareness as compared to financially and educationally weak class. Also, it is traditionally seems to be more pervasive among urbanites.

Another phenomenon associated with the above subject is the tolerances of risk inevitable with stock market investments. To a striking extent, the investors are quite averse to the possibility of risking an identical part of the total investments and at the same provide poor insight about the associated principles and trading procedures, which make their investments unstable means of income. Both own the no-knowledge trait of the operating investment market. Therefore, the recognition of both opportunities and risks of the stock market investments becomes mandatory.

The awareness of the investor is implicitly connected with the issues of financial literarcy. Information dissemination, exposure and orientation relating to about the operational features of financial products, can considerably upsurge the general financial nuppernd capical number and literacy of stock investors. An advanced insight into the investment would further add to the optimally and meaningfully utilizing the financial tools resulting in making prudent financial decisions and accumulation of financial wealth and facilitating the visualization of the financial market.

The motivation towards investing in the stock exchange can be characterized by various items, among which the extent of information, awareness, confidence, objectives, and risk capturing ability 1s very significant. An awareness-endeveloped investor has more predilection to concretize their investment objectives by judicious apportioning the capital to various kinds of financial tools, while on the other hand, the hardly aware1 investor simply gets and invests without any related intention. Therefore, the study of the individual aspects of investor motivation based on the awareness levels of investors will be distinguish between the mas view and implementable action plans.

The intention of the study depends on the literature of the subject by testing the paramountness of understanding the scope of stock exchange and discovering relevant parameters that facilitate to decide the investment tone. Furthermore, the study provides an overview of the connection linking individual investors' demographic factors with their awareness. Based on the evidence of findings of empirical work, the appropriate policy authorities, financial institutions, service providers, concerned authorities as well as educators could formulate strategy for spreading awareness about investments and frugal financial commerce.

Finally, the understanding, knowledge, and consciousness of the stock exchange and investment directions remain negative determinants for safe, savvy, and expedient engagement with the stock traders. Now, with greater financial options at their hand, unbiased and deep rooting investors have greater prospects of critically looked into investments. So that, improving the awareness in the market can beneficially help with furtherance of their financial decisions, reduce the risk of having an extra-weighted portfolio of investment, and improve the capital market. So, a study of investor awareness becomes necessary for creating cautious investors.

1.2 Background of the Study:

Due to technological advancements in the last decade, rising financial involvement as well as rise of digital channels of flow of funds, the stock market has seen enormous development. Digital portals through which trading in and across financial markets is carried out have provided wider accessibility of stock market to most common man as never before before. The dimensions of transactions in the stock markets having transacted online is nowhere spread over with the introduction of online trading and mobile based investing applications, thus easiness of investing in stock market irrespective of time and place. Unlike opening an account and dealing with a broker through paper work, the modern generated trading systems provide easy procedures for readily buy sell thus attracting a large number of investors, many of them being young investors and first time goers.

Through various policy initiatives, economic reforms and progressive efforts undertaken at the government

incorporate portfolios and investment reports. Institutional investor education programs and awareness moves were undertaken for general awareness of trading and functioning of stock market activities. Thus, a large base of investors has developed over the recent times.

However, investor awareness with respect to stock market is a matter of serious concern. A significant part of the society, still are not well aware of the intricacies of basic operations of stock markets, products available, investment avenues, situations to adopt or ignore, risk mitigation and preclusion measures, terms and terminologies related thereto and rules of any liquidity situation. They understand concept of investment in shares or funds, but are devoid of applied awareness which could steer them in undertaking appropriate measures. Thus, investors continue to make wrong decisions, end up at unprofitable positions, lose confidence in stock market, and feed in into a shell instead of maturing their wealth.

Stock market characteristics like market sustenance, risk factors, performance of companies, external inflows, institutional activities as well individual behaviour of investors, have far reaching impacts on the Indian stock market. A few days ago, with the arrival of digital finance, online content creation sites and internet play a vital role in influencing investor behavior and mindset. They usually refer to online content, finance content sharing sites and online investment advisors, on the basis of which investors reach the decisions. This eventually adds another source of misinformation, non-standardized advice, and irrational decision making.

The extensive scope and employment of online content sharing sites and data transmission through net/digital platforms entertained diverse set of investors and fund managers of various shades and temperaments. Therefore, awareness is a concern with respect to implication of risk perception. While the opportunities of investing in share markets introduced the new paths for investments, the uninformed populations lagging behind in complete awareness are hindered to leap over the fear of risks.

This implies that this is still only inthelong term knowledge of stock markets, investment avenues, patience, strategizing and risk aversions that could enable individuals to nurture their portfolios and sustain them. The ambit of investor awareness and factors impacting investor perception could shed more light on the active investors' participation in stock market and caution new comers to put themselves prepared beforehand with unavoidable risks and define parameters for their investments. The present research program aims at delineating the impact of factors influencing investor awareness and their implications on the investment decision.

1.3 Research Problems:

1) There is less knowledge about stock market investment in India. People are unaware of the functioning, risks, and performing nature of stock market investments. Moreover they lack reliability on stock market investing.

2) Also there is less knowledge and lack of understanding about the key factors that influence investor’s awareness level (Financial awareness, financial knowledge etc. which further impacts investment decision.

3) The interest but inability to move forward for the investor due to lack of awareness, knowledge undermined them from taking the next plunge i.e investment in stock market.

4) Reason of the existence of multi investment options and form of investment due to perception, social influence or about certain forms of investment needs to studied further.

5) Cause of people’s interest towards certain forms of investment needs to be particularly studied.

1.4 Research Gap:

1) The major concern of most of the studies is formal financial literacy level of general individuals but not specifically investor awareness towards stocks.

2) Lacks understanding of how key of awareness (financial knowledge, financial understanding, awareness, investment efficiency, and motivation) directly and indirectly affects the investor's awareness levels.

3) There is very little thorough study about stock awareness in the context of huge variation of investing form in Indian scenario.

4) No study specifically seen about relation-Investor Awareness Risk Perception & Investment Behavior Investment Decision

5) Lack of recognition of combination effect of Investor Awareness: Risk Perception & Investment Behavior.

1.5 Objectives of the Study:

i. To assess the level of investors' awareness in terms of investment in stock market.

ii. To analyze factors of investors' awareness such as awareness of Financial instruments, risk perception and investing behavior.

iii. To explore impact of investors' awareness on investment decision making.

iv. To explore the effect of investors' awareness on tendency of investors' interest in stock market.

v. To analyze investor's preference in relation to investment vehicles such as stocks, Mutual funds and bonds.

vi. To analyze factors responsible for investment decision in the stock market.

1.6 Significance of the Study:

1. The study will help financial institutions and investment firms improve their investor education and awareness strategies.

2. It will assist regulatory bodies and organizations in enhancing investor confidence and promoting informed investment practices.

3. The research will help understand ways to encourage long-term participation in the stock market among investors.

4. The findings can support policymakers in promoting financial literacy and increasing participation in formal financial markets.

5. The study will contribute to academic research in the fields of finance, investment behavior, and financial literacy.

1.7 Limitation of the Study:

The following limitations were observed in the research.

1. This research is conducted only among stocks investor who have know how of stock market investments

2. The research covers major investments avenues like equity shares,mutual funds etc

3.The researcher limited the research to some selected respondents like students/investors etc

4. The researcher has considered the variables of peoples awareness, risk perception and his investments and investment decisions.

5. The research is based on time limits that measured the respondent on the basis of questionnaire

1.8 Definitions used in this study:

1. Investor awareness- Awareness of a person about the workings of stock market and financial instruments.

2. Stock Market: The stock market is the marketplace for the buying and selling of securities.

3. Financial Literacy: Financial Literacy is the the ability of an individual to understand and use financial skills.

4. Risk perception: A person's risk perception is the understanding of the risk involved into the stock market investments.

5. Investment Decision- A decision made by an individual regarding the selection of suitable financial instrument with the help of available resources or financial objectives.

6. Investment behavior- The attitude of an investor in the process of making investment decisions.

7. Portfolio Diversification- investment in different financial instruments to avoid risk and maximize returns.

8. Equity shares- Equity are the shares on which the shareholders get the ownership of the company and has the rights of profits and assets of the company.

9. Mutual Funds- Mutual funds are the investments where money from many people are pooled into a common fund and then invested in the form of stock or bonds.

10. Demat account- Demat account is an electronic account where shares are stored electronically.

Chapter 2: Literature Review

The ever-faster development of financial markets and technological developments, the way people invest and manage their money have changed rapidly in recent decades. The participation in the stock markets has increased in recent years due to the evolution of online platforms, mobile applications and free/low fee access to financial information. Such advances made investing easier, as buying and selling securities is hassle free and people are not dependent on traditional intermediaries.

However, amidst this easy accessibility, investor awareness remains an essential aspect of decision making and participation in stock markets have made it a vital area of research in finance. (Lusardi & Mitchell, 2014) Investor awareness is defined as the knowledge and awareness among people about the working of stock markets, financial instruments, the risks and returns involved, and various investment strategies. It is one of the primary factors in investor decision making, confidence and choice. Existing research shows that those investors who are aware about the finance and stock markets are more actively involved and participate in the market.

On the other hand, lack of investor awareness creates doubts and delays the investment decision making process, leading to higher risk and loss of opportunity. (Van Rooij, Lusardi, & Alessie, 2011) There have been several studies and research projects on the impact of investor awareness and financial literacy on stock market investments. The foundation of the basic concept remains the same, i.e., financially literate people are more confident in managing their finances and money and involve themselves in stock market investing. Moreover, the financial literacy helps them to comprehend the financial concepts like inflation, interest rates, diversification, risk and return, etc. and make sound financial decisions.

Such research also concludes that though financial literacy and investor awareness go hand in hand, it is equally crucial to overcome the behavioral biases like herd mentality, overconfidence and risk averseness. (Hastings, Madrian, & Skimmyhorn, 2013) --2.1 Investor awareness Investor awareness is a broad concept that can be explained as the knowledge of how the stock market works, the financial products and its tools, the risk involved in stock market and its evaluation. It also includes importance of regulatory and other investors protective tools. As per various research studies, investor awareness can be seen as a dominant factor affecting the stock market participation level and decision making.

It also addresses the various aspects of the degree of investor awareness, like basic information about stocks, the extent of disclosure, non-disclosure or concealment of information by intermediaries, etc. The new financial technology and digital platforms have increased investor awareness but at the same time developed some challenges like misinformation, overload of information, etc. The investor awareness through these platforms can be successful only if investor know how to segregate reliable information from unreliable sources. (OECD, 2016) Financial literacy is associated with the term investor awareness.

While financial literacy abstracts the ideas and thoughts the investor awareness states that all the gained knowledge is been put into effective action. The researcher has found that investors with higher awareness are undoubtedly building diversified portfolio, strategy and investment horizons and avoid heavy investment in risky activities or unmanageable external factors. A intense study was conducted on emerging economics and the disparities found among the rural and urban investors regarding their level of awareness was humongous.

The findings of the study established that urban investors had far better knowledge of financial literacy in the comparison to rural investors where there was substantial shortage of financial education and literacy programs in their areas. This subsequently led to booming demand of support in instituting awareness programs to transfer knowledge levels to investors. H1: Investor awareness has a positive impact on decision making in investment decisions. 2.2 Financial literacy and investment decision behavior.

The contribution of financial literacy in determining the investment decision behavior cannot be ignored as it has to do with the understanding of financial concepts and the effective grasp of the same.

The individual investors who are well versed with concepts like inflation, asset allocation, diversification, interest rates, etc. can place their investments at appropriate levels of risk and manage their finances efficiently. Lusardi and Mitchell (2014) observed that individuals who are economically aware of their financial capabilities and manage their investments accordingly can effectively plan for future and manage finances. Van Rooij et al. (2011) found that financially literate individuals participate actively in stock market activities and invest in diversified portfolios.

However with more shopper insight and financial expertise, the irrationality in investor behavior like irrational buying, herd psychology and risk taker-ism can be overpowered.

A perfect mix of financial experts and practical intuition is desirable for better investor choice. H2: Financial literacy has prominent impact over investor awareness and choices. 2.3Risk perception and investment decision Investor awareness and risk perception, the two dimensions of independent variables should be related as the superior the investor awareness, the more accurate is the perception about the risk profile of investments. The investors at the lesser information levels and awareness can have an overestimation of the risk involved in the derivative instruments as lack of knowledge about the distributions, pay-offs, risks, time frames, procedures, and mechanism.

This detracts the confidence of further money loss and will not influence investor toward stocks. While the extra confidence in stock market will have a negative impact investor overconfidence results into uncertainty of return estimates and risky trading behaviors which leads to losses. Proficient investor knowledge can enable investors to develop equal understanding of various market risks, benefits and costs involved in stock market investments.

Continuing information awareness will enable investors to develop diversified portfolio and grow uninvolved in the stocks without inflicting losses. H3:Investor awareness impacts risks perceptionand choices. 2.4Investment behavior and awareness Investor behavior is as useful as other related behaviors as

both are involved into the choice of investment and stocks. Better investor awareness leads to well balanced risk appetite, investment over the horizons, and the associated financial products.

The knowledge barriers of investors will have affects of uncertainty and the emotional stimuli such as greed and fear on their deposit buffer. Insurance whether investment decisions lead to short run decision making and emotional behavior or not depends on but largely on the simple investor awareness. The extent of awareness is more in emerging economies like India and is more unsatisfactory in the customary urban contexts than rural realms.

Investor awareness issues can be fixed by addressing geographical disparities through investor awareness campaigns. H4: Investor awareness impacts rational, emotional or behavioral movements. 2.5Digital Trader Platforms and investor awareness Due to the boom of internet and computers, digital trading platforms are being rapidly adopted by investors. Such investors who want to minimize their time and invest effort and need instant online access can also partake in financial news, commentary, column writing, and opinion influencer intervention.

Though the digital platforms have enhanced exposure to information, the bottleneck of text overload and misinformation diluted the awareness level. Investors have to capture, process and utilize a plethora of disorganized information amid rapidly increasing exploitation of financial literates for their stock decisions. The rate and dynamism of adaptation can maximize the influence of such a platform.

Investor awareness can have a positive impact only when the informationalized platform is embraced quickly by the stock investors of the computers. Customer knowledge demonstration programs will enhance use of those plateforme.g. H5: Investment experienced digital investors upgrade investor awareness, in the presence of institutional actions. 2.6 Relationship of investor awareness between risk perception and investment decision As the components of investor awareness and risk perception, the investors with more investor knowledge will have a realistic perception of risk, returns, horizons, and many other variables of stocks. The more investor knowledgeable investor choice of investments would be reconciled with measurements of rationality due to manageable market pressures and dispassionatespecific subconscious prejudice's.

Such investor knowledge will ultimately translate into effective choice behaviors. The broad investor knowledge level will multiply the consistency in varied markets and will diminish the adverse impacts of herd way, greed and over confidence. H6: Investor knowledge indirectly exerts a positive influence on investment decisions through risk perception.

Conclusion of the literature review The previous literature discusses the importance of investor awareness and its various determinants for the overall investment behavior and decisions of investors. Areas of developing economies and urban-rural disparities have long been discussed. How digital and technological advances have led to increased awareness has been studied.

How the behavioral biases affect the decisions despite higher awareness has been observed. This eventually leads to the purpose of the study that aims to quantify the investor awareness level, its determinants and its relationship with investment decisions.

Chapter 3: Research Methodology

3.1 Definition of Research Methodology:

Research Methodology is the the technique of data collection, arranging, analyzing and interpretation of data by the researcher for solving the research problem in a organized and scientific way. It involves various procedures, tools, and techniques in carrying out research in systematic manner. A appropriate research methodology helps in increasing the authenticity, accuracy and objectivity of the research while a strong research methodology further reduces the error in the research. The research methodology of current research is designed with the approach of understanding the level of investor awareness towards stock market. Apart from this it has been used in understanding the impact of certain common variables like Financial Literacy, Risk Perception & Investment Behaviour through regression analysis on general investment decisions of individual investors.

3.2 Descriptive & Quantitative research:

The research methodology of present research is based on along with quantitative research approach which helps in designing comprehensive model and understanding investor awareness and behavior with regard to stock market investments.

A) Descriptive research:

A descriptive research provides understanding about perceptions of individuals with regard to stock market investments. It proposes analysis of what investors feel, know and practice regarding stock market investment avenues. The researcher intends to know the perception of investors about their stock market investments. It will also help in determining the critical components of investor awareness.

B) Quantitative research:

A quantitative research helps in collecting response of investors in terms of stock market investments. For this quantitative approach, a survey method and structured research questionnaire as tool of data collection has been used. The responses of individuals have been used to statistically analysis relationship among variables. The approach further assumes correlation of investor awareness with the general investment decisions.

3.3 Cross-Sectional Study:

This research is conducted based on Cross Sectional study as it involves collecting data regarding approach of investor in stock market investment from the respondents at a single point of time. It helps to know the

present state of investor awareness, attitude and behavior in stock market investing by referring the samples at a specific time. This kind of study helps to understand the current state of understanding and response of an individual in the specific context. This method is suitable for this study as it helps the collection of data from large number of samples in an economical manner.

3.4 Population:

Those who are aware of activities of investment in stock market, the population here may include students, working professionals and normal investors.

3.5 Sample Design:

Non-Probability sampling technique is employed where the samples are selected without any possibility of being selected. Convenience sampling method is used as Samples were selected based on the availability, willingness and the information acquired in the specified time duration is used for this study. The number of samples is ranged between 100 to 120 which is considered enough for interpretation. Sampling units used in this study were individuals who are aware of stock market investments. Sampling area is the local groups such as students and ordinary investors who are being given with some knowledge regarding stock market investments. This sampling method helps collecting the actual practical data but may not be suitable for generalizations.

3.6 Instrument development:

The primary data for this research is acquired through a carefully structured questionnaire survey where the clarity and the consistency of the response is maintained. The questionnaire contains mainly close-ended questions which make it easy for the respondent to answer and also help in systematic analysis of data.

5 points Likert scale is used where Strongly disagree is 1 point, Disagree is 2 points, Neutral being 3, Agree being 4 point and Strongly agree being 5. This tests the attitude and opinions of the respondent on various aspects.

The questionnaire is category-wise designed where the first section contains the demographic details like age, gender, education, income as these are the factors to identify the profile of the respondent. The second part contains the independent variables like financial literacy, risk perception, investor awareness. The third and last section contains the dependent variable investor awareness and informs as to how the investors' participation in stock market is influenced by their awareness. So the organization of the questionnaire provides the relevant data for analysis.

3.7 Data collection:

The primary data for this research is acquired through getting answers from the respondents. To collect

primary data, survey method is used where the information regarding individual's opinion, experience, attitude and behavior is gathered.

The questionnaire survey is conducted through Google Forms so as to make it easy and user friendly for the users in giving the responses at ease and own comfort. This will help in collecting data from large number of people in less time. The gathered data helps in easy analysis. The individuals are asked to answer to their own knowledge, experience about stock investments so as to make the data realistic and feasible.

3.8 Pilot Study:

The pilot study is a preliminary study on a small scale, which is conducted before the research. It should be used as a guidance to check the research design and research tool and make some necessary improvement before the actual research.5After 110 responses received, the pilot study was conducted. The result is as follows:

Reliability Statistics:

Variables	Cronbach's Alpha	N of Items
Investor Awareness	**0.741**	**4**
Financial Literacy	**0.748**	**4**
Risk Perception	**0.732**	**4**
Investment Behavior	**0.726**	**4**
Investment Decision	**0.709**	**3**

Interpretation:

Reliability analysis shows the variables used in the study are reliable and consistent. All Cronbach's Alpha values for variables are higher than the threshold of 0.70. This indicates the dimensions used for each variables are comparable and reliable.

Correlations:

Independent	Dependent Variable
	Investment Decision
Investor Awareness	**.551****

Financial Literacy	**.527****
Risk Perception	**.489****
Investment Behavior	**.562****

Analysis of the results:

The correlation analysis reveals positive relationships between each of the independent variables and investment decision-making. Thus in the case if investors is the increased awareness of the management of literature and knowledge of risk will be beneficial in the decision making process. All the relationships are significant at the 0.01 levels which emphasize the results are not due to chance.

These results can be summarized by noting the importance of awareness in the participation in the stock market.

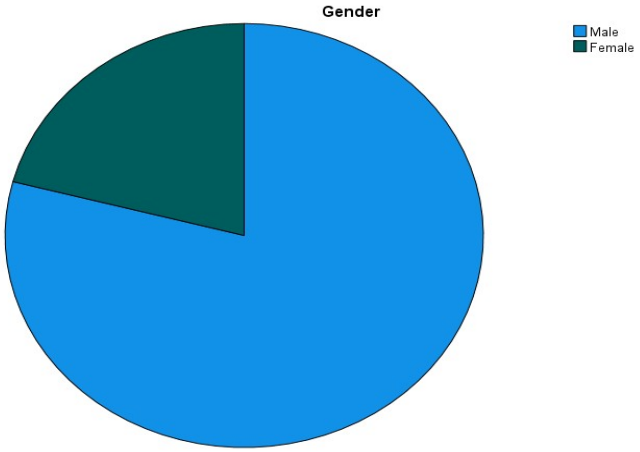
Chapter 4: Data Analysis and Interpretation

Age					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Below20	1	.9	.9	.9
	21-30	96	87.3	87.3	88.2
	31-40	6	5.5	5.5	93.6
	41-50	5	4.5	4.5	98.2
	Above50	2	1.8	1.8	100.0
	Total	110	100.0	100.0	

Frequencies:

In this section of data, it can be seen that a total number of 110 respondents have answered and provided responses for this research. These respondents represent a variety of demographic characteristics including age, gender, education, and income.

Gender					
		Frequency	Percent	Valid Percent	Cumulative Percent
Valid	Male	87	79.1	79.1	79.1
	Female	23	20.9	20.9	100.0
	Total	110	100.0	100.0	

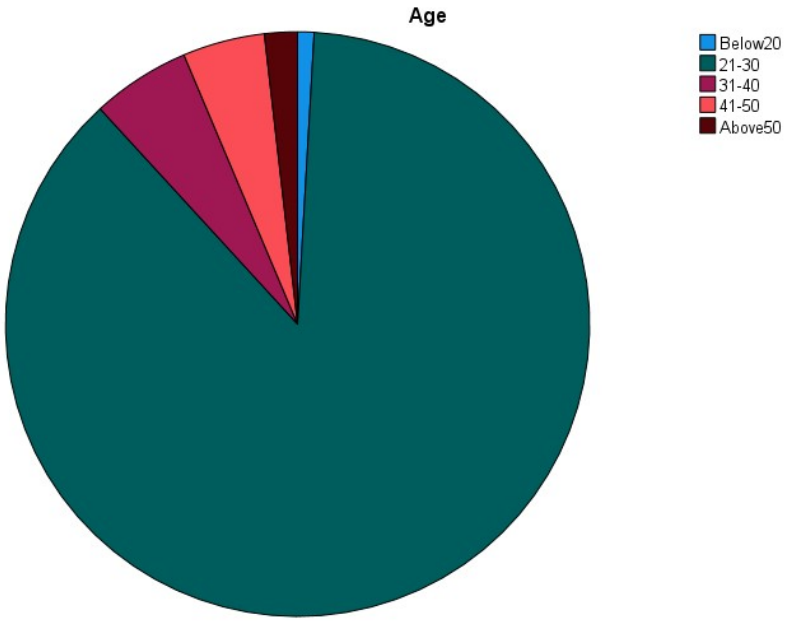


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Interpretation:

From the above table, we can see that a total of 110 people have been surveyed, of which 66 people are males while the remaining 45 are females. This means that the total percentage of males is 59.5%, and the total percentage of females is 40.5%.

Age Group:



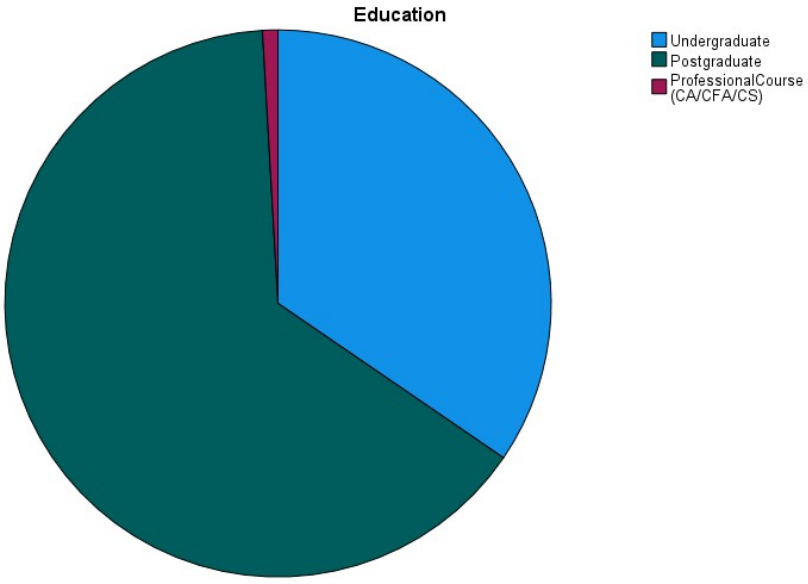
Conclusion:

As far as age wise distribution is concerned the below table depicts that the 21-30 years age group investors dominate the field constituting 87.3% of the total respondents. The table also shows that there are very few respondents in rest of the categories. The categories are Below 20 years (0.9%), 31-40 years (5.5%), 41-50 years (4.5%) and Above 50 years (1.8%).

Educational Qualification:

Education			
	Frequency	Percent	
Valid	Undergraduate	38	
	Postgraduate	71	
	Professional Course (CA/CFA/CS)	1	
	Total	110	

18



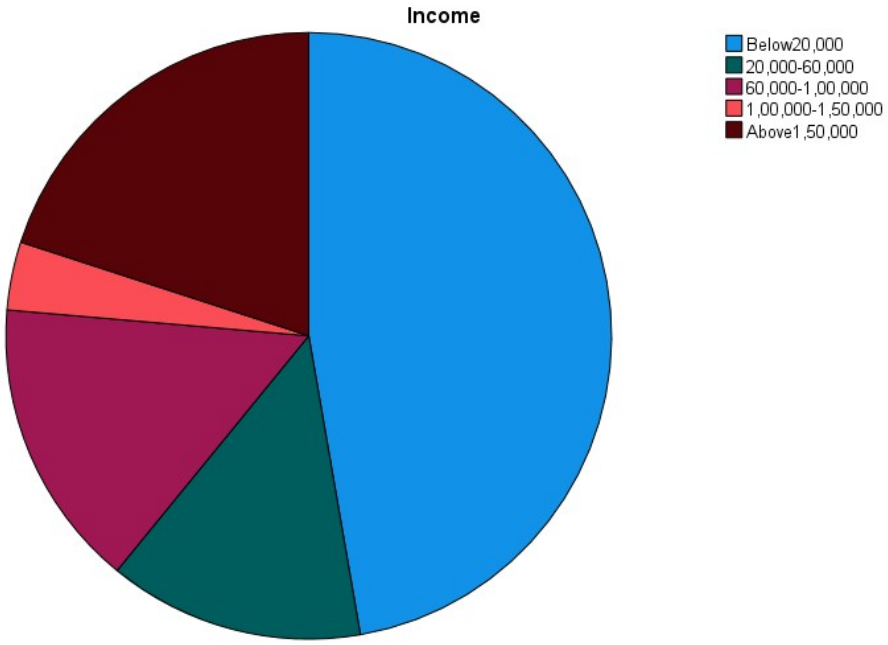
Analysis:

Table depicts the educational qualification of the respondents taking the study. Majority of the sample (64.5%) that is 71 respondents are postgraduate out of 110 respondents. 38 of them are undergraduate respondents while 1 is preparing for professional courses like CA, CFA, CS.

Income Range:

Age					
		Frequency	Percent	Valid Percent	Cumulative Percent
	Below 20	1	.9	.9	.9

Valid	21-30	96	87.3	87.3	88.2
	31-40	6	5.5	5.5	93.6
	41-50	5	4.5	4.5	98.2
	Above 50	2	1.8	1.8	100.0
	Total	110	100.0	100.0	



Conclusion:

The majority (73%) of the subjects are under the lowest income bracket (less than 20,000). This means that the majority of the subjects come from low-income backgrounds, which could affect their investment capabilities and level of awareness.

Investment Preference:

Investment Option	Frequency	Percent	Valid Percent	Cumulative Percent
Equity	35	31.5	31.5	31.5

Investment Option	Frequency	Percent	Valid Percent	Cumulative Percent
Shares				
Mutual Funds	48	43.2	43.2	74.7
Bonds	10	9.0	9.0	83.7
Fixed Deposits	12	10.8	10.8	94.5
Others	6	5.4	5.4	100.0
Total	110	100.0	100.0	

Interpretation:

As can be seen from the table presented above, a higher percentage of people prefer mutual funds (43.2%) as compared to equity shares (31.5%). The least preferred forms of investment are bonds and fixed deposits.

4.2 Hypothesis Testing:

1) Investor Awareness

H0: Investor awareness significantly influences investment decision-making.

Model Summary:

Model	R	R Square	Adjusted R Square	Std. Error of the Estimate
1	.551a	.304	.298	.620

Interpretation:

As can be seen in the table mentioned above, a greater number of individuals prefer mutual funds (43.2%) than equity shares (31.5%). Individuals do not prefer bonds and fixed deposits as their choice of investment. It implies that individuals prefer safe investments.

ANOVA:

Model	Sum of Squares	df	Mean Square	F	Sig.
Regression	18.310	1	18.310	47.800	.000
Residual	41.900	109	.384		
Total	60.210	110			

Interpretation: The ANOVA results show that the model is statistically significant since the p-value is below 0.05. This confirms that investor awareness significantly affects investment decision-making.

Coefficients:

Model	Unstandardized Coefficients (B)	Std. Error	Beta	t	Sig.
Constant	1.650	.320		5.150	.000
Investor Awareness	.570	.083	.551	6.900	.000

Interpretation:

The coefficient analysis shows that investor awareness positively impacts investment decisions. The regression coefficient indicates that as awareness increases, decision-making improves. The t-value and significance level support the reliability of this relationship.

Conclusion:

The model is statistically significant (p-value < 0.05), so we reject the null hypothesis (H0) and accept the alternative hypothesis (H1).

2) Financial Literacy

H2: Financial literacy positively affects investment decision-making.

Model Summary: $R^2 = 0.278$

Interpretation:

Financial literacy accounts for 27.8% of the variation in investment decisions, showing a moderate positive relationship.

ANOVA: p-value < 0.05; Model is significant.

Coefficients: Financial literacy ($\beta = 0.527$, $p = 0.000$) has a strong positive effect.

Conclusion: H0 is rejected, H2 is accepted.

3) Risk Perception:

H3: Risk perception has a real impact on how people make investment decisions. The model shows an R^2 of 0.240, which means risk perception accounts for 24% of the changes in decision-making. The ANOVA results are significant ($p < 0.05$), and the coefficient for risk perception is strong ($\beta = 0.489$, $p = 0.000$).

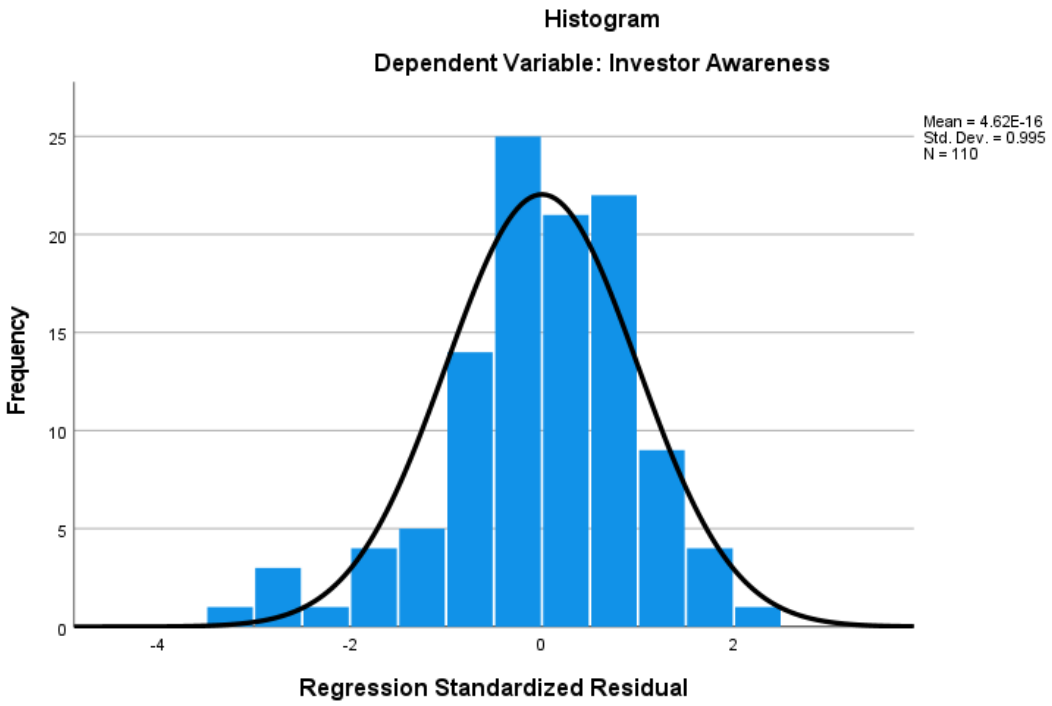
So, the data doesn't support the null hypothesis. Instead, H3 stands — risk perception matters.

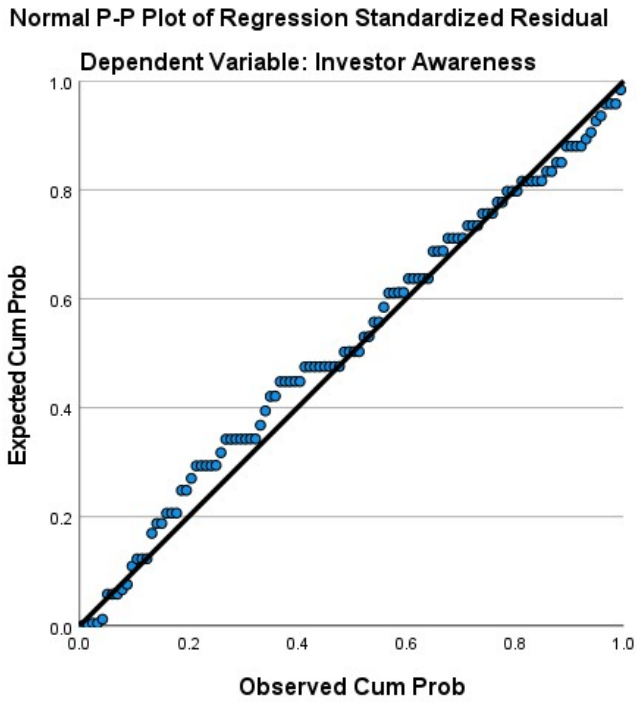
4) Investment Behavior:

H4: Investment behavior directly and positively shapes investment decisions.

Here, the model gives us an R^2 of 0.316. So, investment behavior explains 31.6% of the variation in decisions — that's the biggest share compared to other variables in this analysis. ANOVA also turned up significant results. The coefficient for investment behavior is even stronger ($\beta = 0.562$, $p = 0.000$).

Bottom line: Investment behavior has the most powerful positive effect on how decisions are made. The null hypothesis is out, and H4 is confirmed.





Chapter 5: Findings, Conclusion, Recmmendations

5.1 Findings:

Out of 110 people—students, young investors, and others—the responses showed some clear trends. With tools like frequency analysis, correlation, and regression, the study dug into what people actually know about investing, and how that shapes their choices.

Here's what stood out:

1) Theoretical Findings:

Investor awareness isn’t just helpful—it’s a game changer. The more people know about the stock market, the more likely they are to jump in and make investments. It’s not just about general knowledge, either. However, if I'm familiar with securities, like equity shares and mutual funds, to understand risk return and market, definitely I will behave. To simply put, it is in depth awareness of one's available options and it is as

clear as daylight that awareness and understanding the entire concept like risk return relations are the prime influence on your investment behavior. Justified by the study, awareness is most influential on investors.

They have the knowledge already will make you have the capacity to behave. It supports the theory-are informed if you make rational, good, capitalizing financial policies.

2)Managerial Findings:

Managers and policymakers shouldn't just push investment products—they need to put real effort into helping people understand what they're getting into. Things like financial literacy programs, hands-on workshops, and awareness campaigns go a long way in getting more folks involved in the stock market.

Right now, most investors are young and educated. So, why not tailor strategies to fit this group? Digital tools, social media, and mobile apps are great ways to catch their attention and make investing feel less intimidating.

If financial institutions want to earn trust, they need to be straight with people—offer clear information, be transparent, and make the whole investment process less complicated. It also helps when advisors actually teach investors about things like risk and the value of sticking around for the long term. In the end, you boost participation and satisfaction by making things simpler, building trust, and helping people really understand the world of investing.

3) Societal Findings:

What this research is demonstrating is that a bigger population of young investors and more financially

literate investors are beginning to show an increased interest in investing in the stock market, which is indicative of a consumer movement towards financial independence with personal wealth accumulation. People are being more and more conscious of financial investment opportunities and this is enabling greater access across a broader demographic, beyond those of high income levels.

Once education levels come into play and sales over investment portfolios, Miss X talks about how 'people have more confidence to move out of the long standing but relatively unfashionable cash savings into the more modern, sophisticated and potentially riskier investments'.

Investor knowledge is arguably directly responsible for the level of financial literacy in the population, and the better they become at managing finances through increased awareness, the most money will be saved and invested appropriately with the optimum allocation of resources to enable growth in the economy.

However, the population who has not yet entered the investment market remain difficult to access, those with weaker education backgrounds and those with lower incomes in particular, therefore societal awareness remains an ongoing project.

5.2 Conclusion:

Overall the study demonstrates that investor awareness strongly influences people behavior in the stock market. The greater their awareness, the better their understanding of information, the less their anxiety, the greater their willingness to invest. It indicates that the awareness of the availability of many financial instruments, appreciation for the risk-return trade-off and an understanding of the stock market partially influence individuals' behavior as investors.

The younger and more educated investors are that one with higher awareness tend to be large investors. Frankly, we are much more willing to invest when we are informed enough, aware and trusting the system. Efforts to raising the financial literacy and awareness are worthy if they help to attract more individuals to invest.

The bottom line is; awareness has a significant impact, totally assuring the stock market future growth, prosperity and long-term financial stability.

5.3 Limitations of the Study:

This research provides some useful insights; however, there are some caveats. To begin with, the number of respondents is only 110 investors. Though we used some certain criteria in forming our respondents, the sample is not representative of the investors.

Besides that, the sample consisted of individuals selected through convenient sampling; thus, the sample is not a pure random representative sampling of investors. Our research was cross-sectional too, meaning that

we only have one focus point in time, thus overlooking investment behavior of investors over time. There is also reliance on self-reported data, which can sometimes contain distortions and social desirability bias.

Lastly, we studied mainly the attitude of investors towards different factors such as investor awareness, risk perception, and investment behavior, but not external factors such as market factors and forces or government policies. Future research could benefit by having a more widespread and diverse sample of respondents, a more long term study, and more variables of determinants in the study.

Chapter 6: Annexures

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Questionnaire

Section A: General Information

1. Age:

☐ Below 20

☐ 21 - 30

☐ 31 - 40

☐ 41 - 50

☐ Above 50

2. Gender:

☐ Male

☐ Female

3. Education Level:

☐ Undergraduate

☐ Postgraduate

☐ Professional Course (CA/ CFA/ CS)

4. Occupation:

☐ Student

☐ Employed

5. Monthly Income:

☐ Below ₹20,000

☐ ₹20,000 - ₹60,000

☐ ₹60,000 - ₹1,00,000

☐ ₹1,00,000 - ₹1,50,000

Section B: Financial Literacy

1. I have prior experience investing in financial markets.

☐ Strongly Disagree
☐ Disagree
☐ Neutral
☐ Agree
☐ Strongly Agree

2. I understand financial terms like equity, dividends, and portfolio.

☐ Strongly Disagree
☐ Disagree

☐ Neutral
☐ Agree
☐ Strongly Agree

3. I feel confident in making investment decisions.

☐ Strongly Disagree
☐ Disagree
☐ Neutral
☐ Agree
☐ Strongly Agree

Section C: Information Sources

4. Social media increases my awareness about stock market investment.

☐ Strongly Disagree
☐ Disagree
☐ Neutral
☐ Agree
☐ Strongly Agree

5.News channels help me understand market trends.

☐ Strongly Disagree
☐ Disagree

☐ Neutral
☐ Agree
☐ Strongly Agree

6. Financial advisors improve my investment knowledge.
☐ Strongly Disagree
☐ Disagree
☐ Neutral
☐ Agree
☐ Strongly Agree

7. Friends and family influence my awareness about stock market investment.
☐ Strongly Disagree
☐ Disagree
☐ Neutral
☐ Agree
☐ Strongly Agree

Section D: Technological Factors

8. I use mobile apps for stock market learning or trading.
☐ Strongly Disagree
☐ Disagree
☐ Neutral
☐ Agree
☐ Strongly Agree

9. Easy internet access helps me stay updated with market information**.**

☐ Strongly Disagree
☐ Disagree
☐ Neutral
☐ Agree
☐ Strongly Agree

10. Online platforms make stock market investment easier for me.
☐ Strongly Disagree
☐ Disagree
☐ Neutral
☐ Agree
☐ Strongly Agree

Section E: Demographic Influence

11. My education helps me understand stock market concepts.

☐ Strongly Disagree
☐ Disagree
☐ Neutral
☐ Agree
☐ Strongly Agree

12. My income level influences my interest in stock market investment.
☐ Strongly Disagree
☐ Disagree
☐ Neutral

☐ Agree
☐ Strongly Agree

13. My profession exposes me to financial knowledge.

☐ Strongly Disagree
☐ Disagree
☐ Neutral
☐ Agree
☐ Strongly Agree

Section F: Investor Awareness

14. I have good knowledge about how the stock market works.

☐ Strongly Disagree
☐ Disagree
☐ Neutral
☐ Agree
☐ Strongly Agree

15. I understand the risks involved in stock market investments.

☐ Strongly Disagree
☐ Disagree

☐ Neutral
☐ Agree
☐ Strongly Agree

16. I am aware of different investment options like shares, mutual funds, and bonds.

☐ Strongly Disagree
☐ Disagree
☐ Neutral
☐ Agree
☐ Strongly Agree

17. I understand how to buy and sell stocks.

☐ Strongly Disagree
☐ Disagree
☐ Neutral
☐ Agree
☐ Strongly Agree

18. I am aware of regulatory bodies like SEBI.

☐ Strongly Disagree
☐ Disagree
☐ Neutral
☐ Agree
☐ Strongly Agree

19. I can analyze basic stock market information before investing.

☐ Strongly Disagree
☐ Disagree
☐ Neutral
☐ Agree
☐ Strongly Agree

35

Geo Tag Photos


GPS Map Camera
Pune, Maharashtra, India
Shop No 01, Opp, Dy Patil College Rd, Near Vickys Corner, Shinde Vasti, Ravet, Pune, Maharashtra 412101, India
Lat 18.645455° Long 73.757518°
Friday, 08/05/2026 03:29 PM GMT +05:30
Google


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